

Financial Inclusion and Pradhan Mantri Jan Dhan Yojana

- A Critical Analysis and Way Forward

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“The stark reality is that most poor people in the world still lack access to sustainable financial services, whether it is savings, credit or insurance. The great challenge before us is to address the constraints that exclude people from full participation in the financial sector... Together, we can and must build inclusive financial sectors that help people improve their lives.”¹

– Mr. Kofi Annan, Former Secretary General, UN

Abstract

Within the overarching theme of financial inclusion, our paper analyses the recently launched financial inclusion initiative by the Government of India, ‘The Pradhan Mantri Jan Dhan Yojana’ (PMJDY). We underline the need for and significance of financial inclusion in an emerging market like India. The study reflects on the key challenges posited by the PMJDY and suggest certain recommendations as way forward that is expected to eventually further the mission of financial inclusion. The study can be relevant for the streams of development economics, public policy research, and innovative business models.

Key Words: *Financial Inclusion, Pradhan Mantri Jan Dhan Yojana, Banking, India*

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¹<http://www.afi-global.org/news/2013/4/24/world-banks-financial-access-all-session-highlights-maya-declaration-home-grown>

1. Introduction

Well-functioning financial systems serve a vital purpose, offering savings, credit, payment, and risk management products to people with a wide range of needs (Demirgüç-Kunt & Klapper, 2012). In developing economies, financial services sector is still in its nascent stage, as large proportion of the population remains ‘excluded’ from the formal financial institutions. It is estimated that half of the world’s adult population - more than 2.5 billion people do not have an account at a formal financial institution(s)². Therefore the need for financial inclusion, which can be defined as ‘the process of ensuring *access* to financial services and *timely and adequate* credit where needed by vulnerable groups such as the weaker sections and low income groups at an *affordable* cost’³, remains one of the key area of discussion among policy makers, researchers, and other stakeholders.

Our study looks at the Pradhan Mantri Jan Dhan Yojana (PMJDY) - a National Mission on Financial Inclusion (NMFI) launched by the Ministry of Finance, Government of India in August, 2014 as an attempt to ensure access to financial services, through bank/savings account, credit, insurance etc. for the excluded sections of the society at an affordable cost. Therein looking at this programme we try to analyse the key challenges posited by this initiative and suggest recommendations as way forward that is expected to eventually further the mission of financial inclusion. The study can be relevant for the streams of development economics, public policy research, and innovative business models.

2. Literature Review

2.1. Financial Inclusion: Global Scenario

A well-developed financial services sector is critical for the overall development of an economy. Inclusive financial systems allows broad access to financial services, this is likely to benefit poor people and other disadvantaged groups. Without inclusive financial systems, poor people must rely on their own limited savings to invest in their education or become entrepreneurs. This can contribute to persistent income inequality and slower economic growth (Demirgüç-Kunt & Klapper, 2012).

Financial inclusion is defined as the proportion of individuals and firms that use financial services. It has a multitude of dimensions, reflecting the variety of possible financial services, from payments and savings accounts to credit, insurance, pensions, and securities markets. Globally, about 50 percent of adults have one or more bank accounts, with equal share being

² Global Financial Inclusion (Global Findex) Database, World Bank (2014), <http://www.worldbank.org/globalfindex>.

³ Rangarajan Committee on Financial Inclusion in India, Govt. of India, 2008

unbanked. In 2011, adults who were banked included the 9 percent of adults who received loans and the 22 percent of adults who saved through financial institutions. Some of this non-use demonstrates lack of demand, but barriers such as cost, travel distance, and amount of paperwork play a key part. It is encouraging that most of these barriers can be reduced by better policies (Global Financial Development Report - World Bank, 2014).

Several studies (Aghion and Bolton 1997; Banerjee and Newman 1993; Galor and Zeira 1993) have indicated as to how financial exclusion and, in particular, lack of access to finance can lead to poverty traps and inequality.

Creation and expansion of financial services targeted to poor and low-income populations can play a vital role in enhancing financial access. Inclusive financial sectors can contribute to attaining the goals contained in the United Nations Millennium Declaration, such as halving the proportion of people in the world who live in extreme poverty by 2015.⁴ Year 2005 was declared the year of microcredit and microfinance by United Nations, emphasizing the need for building inclusive financial sectors to achieve the Millennium Development Goals.⁵

The United Nations defines the goals of financial inclusion as follows⁶:

- Access at a reasonable cost for all households to a full range of financial services, including savings or deposit services, payment and transfer services, credit and insurance;
- Sound and safe institutions governed by clear regulation and industry performance standards;
- Financial and institutional sustainability, to ensure continuity and certainty of investment; and
- Competition to ensure choice and affordability for clients.

2.2. Financial Inclusion Initiatives in India

The scenario of financial inclusion in India is no different than many developing economies. In India 53% of adults have bank accounts (World Bank, 2014)⁷. According to Census (2011 estimations), out of 24.67 crore households in the country, 14.48 crore (58.7%) households had access to banking services. Of the 16.78 crore rural households, 9.14 crore (54.46%) were availing banking services. Of the 7.89 crore urban households, 5.34 crore (67.68%) households were availing banking services. It is estimated that 6 Crore households in rural and 1.5 Crore in urban area needs to be still covered.

⁴ http://www.uncdf.org/sites/default/files/Documents/bluebook_1.pdf

⁵ http://www.un.org/en/events/pastevents/microcredit_2005/index.htm

⁶ Australian Agency for International Development, March 2010

⁷ Financial Inclusion Data/Global Findex Link: <http://datatopics.worldbank.org/financialinclusion/country/india>

In such a scenario and to further the development of 'Financial Inclusion in India', the Governor of Reserve Bank of India (RBI), Mr. Y.V. Reddy urged banks to review upon the prevailing practices that tend to keep away the lower section of society, rather than including them, with the intent of aligning them with the objective of financial inclusion.⁸ They were asked to formulate a way out to make available a '*no-frills bank account*', in order to achieve greater financial inclusion. A pilot project was started and 100% financial inclusion was announced in the union territory of Pondicherry and the states of Himachal Pradesh along with Kerela.

In synchronisation with the objectives of financial inclusion, the '*Swabhimaan*' campaign - a financial security programme - was launched in 2011. Operated jointly by the Government of India and the Indian Banks' Association, the campaign covered ~20,000 villages of population more than 2,000 (2001 census), thus bringing banking services to rural and remote areas. Principle idea was to have a village level presence, a channel that would be at an arm's length distance.

This campaign however was limited in its approach in terms of reach and coverage, with convergence of bank accounts; digital money; micro credit; insurance and pension lacking. Also, entire geography wasn't targeted. Consequently the desired benefits could not be achieved and a large number of bank accounts remained dormant⁹.

In August 2014, the government launched an ambitious and a flagship programme on financial inclusion known as 'Pradhan Mantri Jan Dhan Yojna' (hereafter as PMJDY) which combines several innovative features. It is interesting to note that the PMJDY is acting as a model of reference, for financial inclusion, in countries such as Russia, U.S., Spain and Netherlands.¹⁰

3. Pradhan Mantri Jan Dhan Yojana (PMJDY)

The PMJDY was announced by the Prime Minister of India, Mr. Narendra Modi on 15th August, 2014 and eventually launched on 28th August, 2014. Being one of the flagship programme of the government, the objective is to 'ensure access to various financial services like availability of basic savings bank account, access to need based credit, remittances facility, insurance and pension to the excluded sections i.e. weaker sections & low income groups in an affordable manner'¹¹. Touted as the biggest financial inclusion initiative in the world¹², it has achieved a massive enrolment with 16.73 crore bank accounts opened (as of 8 July, 2015) since the inception of the programme with around \$ US 3.2 billion deposited under the scheme.

⁸ http://www.rbi.org.in/scripts/BS_ViewMonetaryCreditPolicy.aspx?Id=2217

⁹ http://www.pmjdy.gov.in/Pdf/PMJDY_BROCHURE_ENG.pdf

¹⁰ http://articles.economictimes.indiatimes.com/2015-04-27/news/61578367_1_kyc-norms-terror-financing-fatf

¹¹ http://www.pmjdy.gov.in/scheme_detail.aspx

¹² <http://pib.nic.in/newsite/PrintRelease.aspx?relid=114810>

Any person, above the age of 10 years, can have a bank account under the PMJDY scheme, bank account can be opened in any bank branch or Business Correspondent outlet by providing the Aadhaar Card, or one of the 'Officially Valid Documents' such as Voter ID Card, Driving License, PAN Card, Passport, NREGA Card. However, if a person does not have any of these 'officially valid documents', but it is categorized as 'low risk' by the banks, then he/she can open a bank account by submitting either; 1) Identity Card with applicant's photograph issued by Central/State Government Departments, Statutory/Regulatory Authorities, Public Sector Undertakings, Scheduled Commercial Banks and Public Financial Institutions; or 2) Letter issued by a gazette officer, with a duly attested photograph of the person¹³.

PMJDY encompasses an integrated approach to bring about comprehensive financial inclusion of all the households in the country. The plan envisages universal access to banking facilities with at least one basic banking account for every household, financial literacy, access to credit, insurance and pension facility. The plan also envisages channelling all Government benefits directly into the beneficiary's account and pushing the Direct Benefits Transfer scheme of the Union Government. The technological issues like poor connectivity, on-line transactions will be addressed. Mobile transactions through telecom operators and their established centres as Cash-Out Points are also planned to be used for Financial Inclusion under the Scheme¹⁴.

The opening of a bank account is the preliminary step for this programme. As a first step, every account holder gets a RuPay debit card with Rs. 1 Lac accident cover. The following are the few other benefits that would accrue on opening an account under the PMJDY scheme¹⁵ :

- Interest on deposit
- No minimum balance required
- Life insurance cover of Rs. 30,000/-
- Easy Transfer of money across India
- Beneficiaries of Government Schemes will get Direct Benefit Transfer in these accounts.
- After satisfactory operation of the account for 6 months, an overdraft facility will be permitted
- Access and regulation to Pension, insurance products through banks
- Accidental Insurance Cover, RuPay Debit Card must be used at least once in 45 days.
- Overdraft facility upto Rs. 5000/- is available in only one account per household, preferably lady of the household. This facility would be available after six months of satisfactory performance of saving/credit history.
- Opening of branches in unbanked rural centres
- Direct Benefit Transfer (DBT) for LPG/Gas Delivery

¹³ http://www.pmjdy.gov.in/scheme_detail.aspx

¹⁴ http://pmjdy.gov.in/pmjdy_mission.aspx

¹⁵ http://www.pmjdy.gov.in/scheme_detail.aspx

- Financial literacy sessions on how to manage his/her money and credit facilities to each account holder

Taking a cue from the shortcomings of the previous financial inclusion programme (*Swabhimaan* campaign), the government left no stone unturned for successful marketing of the campaign. The PMJDY aims at reaching not only the villages but all rural and urban households throughout India. For reaching out to the far flung areas of India, all the 6 lakh villages across the entire country are to be mapped according to the Service Area (SA). Each Service Area is to have at least one fixed point Banking outlet catering to 1000 to 1500 households, called as Sub Service Area (SSA). Additionally, under the guidelines of RBI, it is mandatory for each bank to have at least 25% of its branches in rural and semi urban areas. Mobile banking and the Bank Correspondents model would also be used to reach them.

4. PMJDY – Key Challenges

Although the PMJDY has been able to garner considerable attention and with a millions of bank accounts opened in a short span of time, nonetheless the focus has largely been on opening bank accounts, or what it may be called as ‘Quantity’. The bone of contention, over here, is of the people enrolled under the PMJDY, how many of them are actually using it to avail banking services, with following being the key challenges:

- Lack of awareness of the actual benefits of having a bank account
- Inactive accounts
- Low Financial and Technological Literacy
- Opening of Multiple Accounts
- Inadequate Infrastructure
- Lack of clarity on Banking and Insurance Benefits

5. Recent Initiatives towards Financial Inclusion: Thrust towards Insurance

To give further boost to the financial inclusion initiatives, the government recently launched two insurance plans, namely: Pradhan Mantri Suraksha Bima Yojana (PMSBY) and Pradhan Mantri Jeevan Jyoti Beema Yojana (PMJJBY). The former is an accidental cover of Rs. 2 Lacs for the annual premium amount of Rs. 12 for the age group between 18-70 years, while the latter is a life cover for Rs. 2 Lacs for an annual premium of Rs. 330 for the age group of 18-

50 years¹⁶. Through such social security schemes, the government aims to provide affordable insurance plan which will enhance the depth and breadth of the financial inclusion by moving it beyond opening and operating banking account(s).

While the intention of this programme is plausible, in that the insurance products have been proposed with simple and easy to understand features with affordable premium which is deducted from the account holder's saving bank account through 'auto debit' facility. Nonetheless the awareness in regard to the benefits of the insurance cover as well as procedure for claim lodging and settlement is not being stressed upon.

6. Way Forward for Financial Inclusion and PMJDY

As discussed, the financial exclusion is one of the major challenges faced by the India, for which various programs have been developed time to time. However, in order to cater to the challenges faced by the PMJDY, the government should look out for overcoming them. A mechanism to reach out to customer(s) should be developed by leveraging the existing and extensive postal network. To cater to the large masses, financial literacy initiatives should be deepened. Use of technology as an interface between customers and financial services should be encouraged, with leveraging the presence of unorganized retail shops for financial transaction.

PMJDY is a laudable initiative by the government, the way forward would to enhance financial literacy to educate people about their rights and benefits, in addition a mechanism must be developed to check the efficacy of PMJDY by doing pilot studies and survey sampling at several instances, while at the same time ensuring that bank correspondents, officers related to the bank-branch and volunteers are in touch with the account holders at regular intervals to check and ascertain answers to the following questions: why they are not using bank accounts? What will make them use bank account and its allied services? What problems do they face? This, along with further strengthening the ATM network and presence in rural areas and mobile banking while exploring other means and technology platform for micro transactions (micro deposits and micro withdrawals), is pertinent for its success.

¹⁶ <http://www.pmjdy.gov.in/JanSuraksha/Default.aspx>

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